CIVSB2415226
TENTATIVE RULINGS 5-20-26
Department R17- Judge Gilbert G. Ochoa

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If you wish to submit on the ruling, call the Court, check-in and state that you will be submitting on the Tentative, and your appearance is not necessary. But you must check in.
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This procedure is meant to minimize your waiting time in Court.

XIAOLIN TOM WU
v.
WENXIAO WANG, ET AL.

Motion(s): **Motion for Determination of Good Faith Settlement**

Movant(s): **Plaintiff and Cross-Defendant Xiaolin Tom Wu; Defendant and Cross-Complainant Lihong Zang; and Defendant Leaspring Commercial Corporation**

Respondent(s): **Defendant and Cross-Defendant Wenxiao Wang**

Discussion

Statement of the Law Governing Determination of Good Faith Settlements:

Code of Civil Procedure section 877.6 sets forth the procedure for obtaining judicial determination on whether a settlement has been made in good faith in matters where it is alleged two or more parties are joint tortfeasors. Any party may file and serve a motion in accordance with Code of Civil Procedure section 1005, subdivision (b) for a hearing on the issue of the good faith of a settlement entered into by the parties. (Code Civ. Proc., § 877.6, subd. (a)(1).)

Code of Civil Procedure sections 877 and 877.6 are designed to further two equitable policies: (1) encouragement of settlement; and, (2) equitable allocation of costs among joint tortfeasors. (*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 498-499 (*Tech-Bilt*).)

In determining whether a settlement is in good faith, the Court should consider affidavits served with the motion and any counter-affidavits filed in response, and any other evidence the Court receives in its discretion. (Code Civ. Proc., § 877.6, subd. (b).) The Court's inquiry may include whether the amount of the settlement is within the reasonable range of the settling tortfeasor's proportional share of comparative liability for plaintiff's injuries. The factors to be considered are:

(1) A rough approximation of plaintiff's total recovery and the settlor's proportionate liability;
(2) The amount paid in settlement;
(3) The allocation of settlement proceeds among the plaintiffs;
(4) A recognition that a settlor should pay less in settlement than he would if he were found liable after trial;
(5) The financial conditions and insurance policy limits of settling defendants; and,
(6) Whether collusion, fraud, or tortious conduct aimed to injure the interests of non-settling defendants, exists.

(*Tech-Bilt, supra,* 38 Cal.3d at p. 499.)

The evaluation of the settlement for practical purposes is based on the information available at the time of the settlement. (*Ibid.*)

The burden initially lies with the party opposing the good faith settlement to show that the settlement is unreasonable. (Code Civ. Proc., § 877.6, subd. (d).) The opposing party must demonstrate that the settlement is far "out of the ball park" in relation to factors stated above so as to be inconsistent with the equitable objectives of the statutes. (*Tech-Bilt, supra,* 38 Cal.3d at pp. 499-500.) If such is demonstrated, then the burden shifts to the settling party seeking good faith confirmation to produce substantial evidence to counter the claim that the settlement is inequitable. (*Mattco Forge, Inc. v. Arthur Young & Co.* (1995) 38 Cal.App.4th 1337, 1350-1352.)

Bad faith is not established by showing that a settling defendant paid less than his/her theoretical proportionate or fair share based on a reasonable projection of plaintiff's damages and settling defendant's comparative fault. (*Tech-Bilt, supra,* 38 Cal.3d at 499.) The reason is that such a rule would unduly discourage settlements as damages are often speculative and the probability of legal liability for them is often uncertain or remote. (*Ibid.*)

Furthermore, a particular settlement may be in good faith even if it is for a sum grossly disproportionate to the damages prayed for in the complaint, if it is not disproportionate to what the trial court might have considered the probable recovery of the plaintiff from the settling joint tortfeasor. (*Long Beach Memorial Medical Center v. Superior Court* (2009) 172 Cal.App.4th 865, 874.) A disproportionately low settlement figure is often reasonable in a case where the joint tortfeasor is relatively insolvent, uninsured or underinsured. (*Tech-Bilt, supra,* 38 Cal.3d at p. 499.) A settlement in such a case for the defendant's liability insurance policy limits may be approved as in good faith. (*Ibid.*)

Finally, a judicial determination that a settlement was made in good faith shall bar any other joint tortfeasor from any further claim against the settling tortfeasor for equitable comparative contribution or partial or comparative indemnity based on comparative negligence or fault. (Code Civ. Proc., § 877.6, subd. (c).)

Analysis:

Wu seeks to settle his claims against Zang and Leaspring for $550,000.00.

The moving parties through their respective counsel assert the settlement constitutes a good faith settlement under section 877.6 because there have been good faith settlement negotiations between Wu, Zang, and Leaspring, there has been no collusion between Wu, Zang, and Leaspring in those settlement negotiations, and such a settlement contemplates a rough estimate of Zang's and Leaspring's proportionate share of responsibility for Plaintiff's purported damages in this matter. (Wong Decl. ¶¶ 2-4; Rorie Decl. ¶¶ 2-4; and FitzGerald Decl. ¶¶ 2-6.)

In his opposition, Wang argues that there is a fundamental conflict between California's good faith settlement statute and the state's comprehensive community property regime that grants the family law division of this court with exclusive jurisdiction over the issues raised in. this motion. Wang further argues that the defendants benefiting from this motion, Zang and Leaspring, seek court approval to settle a community property debt unilaterally-without the non-settling spouse's consent and without protecting the non-settling spouse's interests, and with the explicit intent to take an assignment of the claim to pursue the non-settling spouse individually in the shoes of the Plaintiff.

The burden is on Wang, as the party asserting lack of good faith, to prove that issue. (Code Civ. Proc., § 877.6, subd. (d).) To meet that burden, Wang must show that the settlement is so far "out of the ballpark" in relation to the applicable factors that it is inconsistent with the equitable objectives of sections 877 and 877.6. (*Tech-Bilt, supra*, 38 Cal.3d at pp. 499-500; *City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261–1262.) Wang does not do so.

Wang's Opposition does not meaningfully address the *Tech-Bilt* factors and in fact completely ignores those factors. It does not provide a competing valuation. It does not explain why $550,000.00 is grossly disproportionate to the settling parties' potential liability. It does not establish collusion. It does not show fraud. It does not show tortious conduct directed at Wang.

Instead, Wang asks the Court to deny the motion based on alleged family law issues between Wang and Zang. Those issues do not decide whether the civil settlement before this Court was made in good faith.

The settlement amount is $550,000.00. Plaintiff alleges damages exceeding $1.16 million arising from his investment in the Fairborn Hotel, including allegations that Defendants sold the hotel for $1.3 million and returned only approximately $140,000 to Plaintiff. The settlement therefore reflects a substantial compromise of disputed claims, contested liability, and litigation risk.

The settlement was reached after arm's length negotiations following a day long mediation before the Honorable James P. Gray (Retired). The settling parties stipulated that the settlement is fair, reasonable, within the "ballpark" of potential liability, and not collusive.

The *Tech-Bilt* factors are satisfied. The amount paid is substantial. The settlement reflects a compromise of disputed claims. The proceeds are being paid to Plaintiff as the alleged injured party. Wang is not required to pay anything under the settlement. Wang remains free to contest his own liability and assert his own defenses. There is no evidence of collusion, fraud, or tortious conduct aimed at injuring Wang's interests.

In their reply, the moving parties correctly assert that Wang's opposition depends on a series of mischaracterizations. First, Wang contends that the motion improperly seeks to adjudicate community property rights. It does not. In fact, the monies being paid to Plaintiff will effectively reduce a loan obligation that far exceeds the amount Plaintiff will receive as a result of the settlement. The Motion does not seek a ruling that any asset is community property, separate property, or subject to division in the family law court. Further, Wang offers no authority for the proposition that Plaintiff's right to settle his claims should be placed on hold indefinitely pending resolution of separate family law proceedings. Such a result would unfairly prejudice Plaintiff and frustrate the policy favoring settlement. Nor does Wang provide admissible evidence that the settlement terms dispose of community property or that community property assets are being used to fund any portion of the settlement payment. Wang's argument rests on speculation and family law issues between Wang and Zang, not on any showing that this civil settlement was made in bad faith.

Second, Wang contends that the Motion would authorize Zang to transfer Leaspring Commercial Corporation or community property funds. It does not. No such order is requested.

Third, Wang contends that the motion interferes with the family law court's jurisdiction. It does not. A good faith settlement determination under Code of Civil Procedure section 877.6 does not allocate marital debts, divide marital assets, or determine reimbursement rights between spouses. The former spouses remain free to seek determination of their respective community property rights and obligations through the family court.

Fourth, Wang contends that the settlement is improper because Plaintiff may assign claims. That issue is not before the Court. The Court is not being asked to adjudicate the validity, enforceability, scope, or effect of any assignment. Nor is the Court being asked to decide whether Wang has defenses to any future assigned claim.

Fifth, Wang suggests that the Motion somehow eliminates his ability to defend himself. It does not. Wang remains free to contest his own liability, assert defenses, and raise any appropriate family law arguments in the proper forum.

In short, none of these arguments establishes lack of good faith under Code of Civil Procedure section 877.6.

This civil action and the family law proceeding are distinct matters governed by separate procedural frameworks and involving different legal issues. While the family court may ultimately characterize and divide marital assets, that does not provide a legal basis to prevent or delay a good faith settlement determination in this separate civil action.

The cases cited by Wang are distinguishable. *Askew v. Askew* (1994) 22 Cal.App.4th 942, *Glade v. Glade* (1995) 38 Cal.App.4th 1441, *McMillin v. Eare* (2021) 70 Cal.App.5th 893, and *In re Marriage of Schenck* (1991) 228 Cal.App.3d 1474 concern civil orders or judgments that interfered with a family court's ability to characterize, divide, or control marital property. That is not what is occurring here.

The present motion seeks only a statutory good faith settlement determination in a civil action involving monies that were loaned and or invested by Plaintiff, which Plaintiff now seeks to partially recover through settlement. It does not prevent the family law court from later addressing any marital property, reimbursement, allocation, or debt-characterization issues between Wang and Zang. It does not decide whether any debt is community or separate. It does not decide how responsibility for any debt should be allocated between spouses.

Wang also admits that the parties separated in 2016. To the extent any funding issue is even relevant, California law recognizes that earnings and accumulations of a spouse while living separate and apart are the separate property of that spouse. (Fam. Code, § 771, subd. (a).) Wang has not presented admissible evidence showing that the settlement is being funded with community property assets, much less evidence sufficient to defeat a good faith settlement motion.

Even if Wang believed community property was being misused, the proper forum for that objection would be the family court. Family Code section 2040 and related family law remedies provide mechanisms for addressing alleged transfers, dissipation, reimbursement, credits, sanctions, or allocation issues. Those remedies do not convert this civil good faith settlement motion into a family law proceeding.

Wang may raise his family law arguments in the family law proceeding. They do not establish that this civil settlement was made in bad faith.

Therefore, the Court grants Wu, Zang, and Leaspring motion for determination of good faith settlement.

Movant to give notice.

Dated-

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Judge

CIVRS2502508
TENTATIVE RULINGS 5-20-26
Department R17- Judge Gilbert G. Ochoa

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Contreras v. American Honda

Motion- 1) MTC Further responses to Form Roggs 2)MTC Further responses Special Roggs

Movant- Def

Respondent- PLf

Ruling-

No formal memo is provided at this time on the above 2 Compel Further Motions (re Spec. & Form Rogs) due to Moving Party failed to engage in a meet and confer by telephone, teleconference, or in-person as required by CCP 2016.040(a). The matter will be continued so Defendant can comply with that requirement and file a declaration of that compliance at least 10 days before the continued hearing date. Clerk to set next available hearing date.

Movant to give notice.

Dated-

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Judge